02 Sources and recording of data

Topical Question Bank | Paper 2 | 2021-2025

Questions only - original examination pages retained

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2.1 The double entry system of book-keeping

Included questions 3

4 Karishma runs her own business. The balances in her books on 1 October 2020 included the following.

	$
Insurance account	1700 prepaid
Electricity account	1800 owing

During the financial year ended 30 September 2021 Karishma made the following payments by cheque.

Insurance payments

	$
7 February 2021	3400
13 August 2021	3500

Electricity payments

	$
14 October 2020	1800
24 January 2021	1800
26 May 2021	1800

A refund of $300 for insurance overpaid was received by bank transfer on 28 February 2021. The insurance paid on 13 August 2021 covered a period of five months to 31 December 2021.

At 30 September 2021, an amount of $2000 was owing for electricity.

REQUIRED

(a) Prepare the following accounts for the year ended 30 September 2021. Balance the accounts and bring down the balances on 1 October 2021.

Karishma
Insurance account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
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Electricity account

Date	Details	$	Date	Details	$
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....	....	....	....	....	....
....	....	....	....	....	....
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[10]

Karishma is considering changing her electricity supplier. The new supplier has offered Karishma a two-year contract at a fixed monthly amount of $450 payable by direct debit.

REQUIRED

(b) Advise Karishma whether she should change to the new electricity supplier. Justify your answer with **two** advantages and **two** disadvantages of changing supplier.

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.... [5]

On 1 October 2020 Karishma decided to rent out part of her premises to Noor at an annual rent of $1965.

During the financial year ended 30 September 2021 Noor made the following payments to Karishma by cheque.

	$
1 October 2020	800
2 March 2021	825
8 August 2021	850

The amount received on 8 August 2021 included rent of $510 covering the period 1 October 2021 to 31 December 2021.

REQUIRED

(c) Prepare the rent receivable account for the year ended 30 September 2021. Balance the account and bring down the balance on 1 October 2021.

Karishma
Rent receivable account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

(d) Identify the section of the statement of financial position at 30 September 2021 in which the balance on the rent receivable account would appear.

.... [1]

[Total: 20]

4 Sara is a trader. She has prepared her income statement for the year ended 31 December 2023. This shows a profit for the year of $20 180. She has closed the ledger accounts for income and expenses and has transferred the closing inventory to the income statement.

The following balances remain in Sara's ledger at 31 December 2023.

	$
Premises (cost)	100 000
Fixtures and fittings (cost)	40 000
Accumulated depreciation on fixtures and fittings	15 000
Inventory (at 31 December 2023)	6 275
Trade receivables	8 540
Provision for doubtful debts	427
Trade payables	5 125
Bank overdraft	4 900
Cash	350
Long-term loan	12 000
Wages (accrued)	1 000
Capital (at 1 January 2023)	115 793
Drawings	19 260

REQUIRED

(a) Prepare the inventory account for the year ended 31 December 2023. Balance the account and bring down the balance at 1 January 2024.

Sara
Inventory account

Date	Details	$	Date	Details	$
2023					
Jan 1	*Balance b/d*	*5811*	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

(b) Prepare the capital account for the year ended 31 December 2023. Balance the account and bring down the balance at 1 January 2024.

Sara
Capital account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[3]

(c) Prepare the statement of financial position at 31 December 2023.

Sara
Statement of financial position at 31 December 2023

	$	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
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[7]

Sara is considering purchasing a delivery vehicle. She thinks that her sales would increase if she was able to deliver goods to her customers. She would charge a small amount to her customers to cover the cost of delivery.

REQUIRED

(d) Advise Sara whether or not she should purchase the delivery vehicle. Justify your answer by providing **two** advantages and **two** disadvantages of purchasing the delivery vehicle.

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.... [5]

(e) State the meaning of the term revenue receipts.

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.... [1]

[Total: 20]

1 Anika started in business on 1 March 2024, but she did not start to keep full book-keeping records until 1 March 2025.

Anika's assets and liabilities at 1 March 2025 were:

	$
Premises	90 000
Motor vehicle	14 500
Inventory	3 625
Trade receivables:	
Kofi	3 000
Davia	2 140
Petty cash	86
Bank overdraft	1 080
Trade payables:	
Ado	1 925
Sam	210

REQUIRED

(a) Prepare the opening journal entry at 1 March 2025. A narrative **is** required.

Anika
Journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[4]

* 0000800000003 *

Question 1 continues on page 4.

Anika decided to maintain a petty cash book using the imprest system. The imprest amount is $150. On 1 March 2025, Anika drew the amount required for petty cash from the bank account.

During March 2025, Anika made the following payments from petty cash.

March	6	Paid for petrol, $30
	10	Paid for computer paper, $12
	17	Paid Sam, $48, on account
	21	Paid for postage, $6
	28	Paid for car cleaning, $8

REQUIRED

(b) Prepare Anika's petty cash book on **page 5** for the month of March 2025.

Balance the petty cash book, bring down the balance on 1 April 2025 and restore the imprest.

SUBTOPIC: 2.1 The double entry system of book-keeping

* 0000800000005 *

5

Anika
Petty Cash Book

Total received $	Date 2025	Details	Total paid $	Motor expenses $	Office expenses $	Ledger accounts $

[11]

On 21 March 2025, Anika purchased goods on credit from Sam, list price $120, subject to a trade discount of 5%. On 25 March 2025, Anika returned half of these goods.

REQUIRED

(c) Prepare the account for Sam in the books of Anika for March 2025. Balance the account and bring down the balance at 1 April 2025.

Anika
Sam account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[5]

[Total: 20]

2.2 Business documents

Included questions	0

2.3 Books of prime entry

Included questions	24

1 Shilpa is a trader. The following transactions took place in January 2021.

January	2	Paid rent, $450, by direct debit
	3	Bought goods on credit from Dilip, list price $120, subject to a trade discount of 25%
	6	Sold goods on credit to Kabir, list price $200, subject to a trade discount of 20%
	9	Sold surplus office fittings for $110 which was paid by credit transfer
	10	Returned goods to Dilip, list price $20. These goods had been purchased on 3 January
	11	Paid $50 to Dilip in cash
	15	Cash sales, $85, were immediately paid into the bank
	17	Paid office expenses, $30, by credit transfer
	20	Sold goods on credit to Pari, $150
	21	Kabir paid by cheque for the goods he purchased on 6 January, after deducting cash discount of 7½%
	24	Pari paid $141, by cheque, in full settlement of the purchases made on 20 January
	26	Sold goods on credit to Yash, $62, offering him a discount of 5% if he paid within 21 days

REQUIRED

(a) Prepare Shilpa's sales journal for January 2021.
Total the journal and indicate the ledger account to which the total would be posted.

Shilpa
Sales journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[4]

(b) Complete Shilpa's cash book on the page opposite.
Balance the cash book and bring down the balances on 1 February 2021.

SUBTOPIC: 2.3 Books of prime entry

Shilpa
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
2021		$	$	$	2021		$	$	$
Jan 1	*Balance b/d*	....	*200*	*814*	....	....	....	....	....
....	....	....	....	....	....	....	....	....	....
....	....	....	....	....	....	....	....	....	....
....	....	....	....	....	....	....	....	....	....
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[11]

(c) Prepare the ledger account of Dilip for January 2021. Balance the account and bring down the balance on 1 February 2021.
There was no balance on Dilip's account on 1 January 2021.

Shilpa
Dilip account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

(d) Complete the table by placing a tick (✓) to indicate which document Dilip would send to Shilpa for the return of goods on 10 January.

Debit note	
Credit note	

[1]

[Total: 20]

BLANK PAGE

5 Maira opened a shop on 1 January 2020.

She provided the following trading information.

Gross margin: 40%
Purchase price: $70 per unit
Carriage inwards: $2 per unit
Inventory: 130 units at 31 December 2020

REQUIRED

(a) Calculate the cost of Maira's inventory at 31 December 2020.

....

....

....

.... [2]

Maira has not kept a full set of accounting records, but provided the following information.

1 All sales were made on cash terms. The sales for the first year were:

for the first two months: $10 800 each month
for the next eight months: $12 000 each month
for the last two months: $16 200 each month

2 During the year Maira purchased 1400 units. Carriage was paid on these units.

3 Maira took goods from the business during the year ended 31 December 2020. No record was kept of these drawings.

REQUIRED

(b) Prepare Maira's income statement (trading section) for the year ended 31 December 2020.

Maira
Income Statement (trading section) for the year ended 31 December 2020

	$	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
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[8]

Maira has been too busy to keep a full set of accounting records. However, she is now considering using double-entry book-keeping for her business.

(c) Advise Maira on whether or not she should start to keep a full set of accounting records. Justify your answer with **two** advantages and **two** disadvantages.

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.... [5]

(d) Place a tick (✓) in the correct column to indicate to Maira the book of prime entry in which **each** of the following should be recorded.

	Cash book	Purchases journal	Purchases returns journal
Discount received from a supplier for prompt payment			
Credit note received from a supplier			
Direct debit paid to a supplier			

[3]

(e) Complete the table by placing a tick (✓) in the correct column to indicate to Maira the accounting objective which is described in **each** statement.

	Comparability	Relevance	Reliability
Maira's financial statements should be free from significant errors.			
Maira's financial statements should be provided in time for her to use them when making decisions about her shop.			

[2]

[Total: 20]

19

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1 Leo maintains a petty cash book using the imprest system. The imprest amount, which is $200, is restored on the first day of each month.

All payments of less than $100 are made from petty cash. All cash receipts of less than $100 are paid into petty cash.

On 1 April 2021 Leo had $48 in his petty cash box. Leo provided the following information for April 2021.

April	1	Restored petty cash imprest from the business bank account
	5	Paid for office cleaning, $21
	7	Paid for train ticket, $13
	13	Paid $72 to Hunter, a trade payable
	18	Paid taxi fare, $14
	25	Received cash, $11, from Conrad, a trade receivable

REQUIRED

(a) Prepare Leo's petty cash book for the month of April 2021, on **page 3**.

Balance the petty cash book and bring down the balance on 1 May 2021.

Question 03 continued - May/June 2021 Paper 22 Question 1 - 20 marks

SUBTOPIC: 2.3 Books of prime entry

3

Leo
Petty Cash Book

Total received $	Date 2021	Details	Total paid $	Travel $	Office expenses $	Ledger accounts $

[10]

(b) **(i)** Name the ledger to which **each** of the following would be posted.

The total of the column for travel expenses ....

The payment to Hunter .... [2]

(ii) Name the accounting principle which is being applied when figures from the petty cash book are posted to the appropriate ledgers.

.... [1]

Leo received a statement of account from Hunter.

REQUIRED

(c) State **two** purposes of issuing this statement to Leo.

1 ....

....

2 ....

.... [2]

Leo is considering making all payments over $50 to trade payables by credit transfer.

REQUIRED

(d) Advise Leo whether he should go ahead with this change. Justify your answer by providing **two** advantages and **two** disadvantages.

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.... [5]

[Total: 20]

1 Nazmeen started in business as a hairdresser on 1 January 2022. She purchases her hairdressing supplies on credit and uses the imprest system for her petty cash.

Nazmeen's assets and liabilities at 1 January 2022 were as follows:

	$
Motor vehicle	11 000
Balance at bank	2 300
Petty cash	200
Bank loan	2 500

REQUIRED

(a) (i) Prepare the general journal entry to record the opening assets and liabilities at 1 January 2022. A narrative is required.

Nazmeen
General journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[4]

(ii) State one other use of the general journal.

.... [1]

Nazmeen makes all payments of less than $100 by petty cash. The imprest amount, which is $200, is restored on the first day of each month from the bank account.

Nazmeen provided the following information for January 2022.

January 3 Paid for petrol, $35.
8 Paid for magazines for the reception area, $14.
17 Paid $60 to GL Limited, a trade payable.
26 Paid for vehicle cleaning, $9.
29 Paid $38 to Alim, a trade payable.

REQUIRED

(b) (i) Complete Nazmeen's petty cash book on the following page.
Balance the petty cash book, bring down the balance on 1 February 2022 and restore the imprest.

Question 04 continued - Feb/Mar 2022 Paper 22 Question 1 - 20 marks

SUBTOPIC: 2.3 Books of prime entry

Nazmeen
Petty Cash Book

Total received $	Date	Details	Total paid $	Motor expenses $	Sundry expenses $	Ledger accounts $
	2022					
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....
....	....	....	....	....	....	....

[10]

(ii) State one advantage of using the imprest system for petty cash.

.... [1]

Nazmeen receives business documents from her credit suppliers.

REQUIRED

(c) Complete the table below by placing a tick (✓) to indicate which document(s) each item appears on. The first one is completed for you.

	Invoice	Credit note	Statement of account
A credit purchase	✓		✓
The balance owing by Nazmeen to a supplier at the end of the month			
A purchases return			
Trade discount deducted from list price			
Payment made to a credit supplier			

[4]

[Total: 20]

5

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1 Nakul is a trader. He buys and sells goods on credit. He buys most of his supplies from one supplier, Nadia, who allows Nakul a trade discount of 20%.

The following transactions took place in January 2022.

Jan	2	Paid $441 by cheque to Nadia, in full settlement of $450 owed to her at 1 January 2022.
	12	Bought goods on credit from Nadia, list price $350
	14	Returned faulty goods to Nadia, list price $80
	18	Bought goods on credit from Nadia, list price $400
	23	Sold goods on credit, $800
	29	Bought goods on credit, $60, from Sophie
	30	Returned goods to Sophie, $9

REQUIRED

(a) Prepare the purchases journal for January 2022.
Total the journal and indicate the ledger account to which the total would be posted.

Nakul
Purchases journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[4]

(b) Prepare the purchases returns journal for January 2022.
Total the journal and indicate the ledger account to which the total would be posted.

Nakul
Purchases returns journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

(c) Prepare the account for Nadia, for January 2022, as it would appear in the books of Nakul. Balance the account and bring down the balance on 1 February 2022.

Nakul
Nadia account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[6]

(d) Complete the table by placing a tick (✓) to show where each item is shown on the statement of financial position.

	Current liabilities	Non-current liabilities
Trade payables		
Bank overdraft		

[2]

Nakul has a bank overdraft and would like to reduce it. He is considering paying his suppliers later than he currently does in order to help him reduce his bank overdraft.

REQUIRED

(e) Advise Nakul whether or not he should take longer to pay his suppliers. Justify your answer by providing **two** advantages and **two** disadvantages.

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.... [5]

[Total: 20]

5

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3 Jules is a hairdresser. He bought some new energy-saving hairdrying equipment, $1900, on credit from YZH Limited on 30 April 2022.

REQUIRED

(a) Prepare the journal entry to record the purchase of these hairdryers. A narrative **is** required.

Jules
Journal

Date	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

The new hairdryers will use less electricity than his old ones. There will be an additional insurance charge for the new hairdryers. The old hairdryers had been fully depreciated so that their net book value was nil.

REQUIRED

(b) Complete the table by placing a tick (✓) to show whether these changes in expenses increase or decrease the profit.

Expense	Increase in profit	Decrease in profit
Heat and light		
Depreciation		
Insurance		

[3]

Jules has discovered the following five errors in his accounting records for the year ended 30 April 2022.

1 The total for general expenses, $28, in the petty cash book for April 2022 has not been posted to the general ledger.

2 A direct debit to Isaac, a supplier, $195 had been recorded as $159 in the account for Isaac.

3 A payment by credit transfer for wages, $144, has not been recorded in the accounting records.

1 Peter is a trader. The following transactions took place in April 2022.

April	2	Cash sales, $410, were paid directly into the bank account
	3	Paid $798 to Rahat, by cheque, in full settlement of a debt of $840
	8	Paid $42 cash for a motor vehicle repair
	15	Purchased goods, list price $320, on credit subject to a trade discount of 10%, from Rahat
	18	Cash sales, $460
	20	Paid $392 to Samir by telephone transfer, having deducted 2% cash discount from the amount due
	25	A cheque for commission receivable, $115, was paid into the bank account
	29	Paid $285 to Rafael by cash, in full settlement of a debt of $300

REQUIRED

(a) Prepare Peter's cash book on the page opposite.

Balance the cash book and bring down the balances on 1 May 2022.

SUBTOPIC: 2.3 Books of prime entry

Peter
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
2022		$	$	$	*2022*		$	$	$
Apr 1	*Balance b/d*		*135*	*920*					

[11]

Peter has received a bank statement for April. He is using it to prepare a bank reconciliation statement and to update his cash book.

REQUIRED

(b) Place a tick (✓) to show how **each** item in the table below would be used to prepare the bank reconciliation statement **or** to update the cash book.

	Prepare bank reconciliation statement		Update cash book	
Items to be adjusted	Added to bank statement balance	Deducted from bank statement balance	Debited to cash book	Credited to cash book
Bank charges				
Direct debit for rent				
Cheque paid to a supplier but not yet cashed				
Cheque for commission received dishonoured				
Dividend received				

[5]

REQUIRED

(c) Prepare the account for Rahat as it would appear in the ledger of Peter.
Balance the account and bring down the balance on 1 May 2022.

Peter
Rahat account

Date 2022	Details	$	Date 2022	Details	$
....	....	....	*Apr 1*	*Balance b/d*	*840*
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

[Total: 20]

2 Rasheed started a business on 1 October 2021. He maintains a petty cash book in the business. A monthly imprest of $100 is restored on the first day of each month.

REQUIRED

(a) State **two** advantages of maintaining a petty cash book.

1 ....

....

2 ....

.... [2]

Rasheed's transactions for the month of September 2022 were as follows.

		$
September 2	Paid taxi fare	12
7	Paid purchases ledger account of Crystal	16
13	Bought postage stamps	10
18	Paid purchases ledger account of Kalpa	15
25	Paid bus fare	5
29	Paid cleaner	28

REQUIRED

(b) Complete Rasheed's petty cash book for the month of September 2022 on the next page.

Balance the petty cash book and bring down the balance on 1 October 2022. Clearly show the amount required to restore the imprest.

[8]

7

Rasheed – Petty Cash Book

Total Received $	Date 2022	Details	Total paid $	Travel $	Postage $	Cleaning $	Ledger accounts $
100	September 1	Cash					

(c) Record the entries which would be made in the following accounts in September 2022. It is **not** necessary to total or balance the accounts.

Rasheed
Postage account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....

Purchases ledger
Crystal account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....

[2]

At the end of his first year in business Rasheed had a closing inventory of $8600.

REQUIRED

(d) Prepare the inventory account at 30 September 2022. Balance the account and bring down the balance on 1 October 2022.

Rasheed
Inventory account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[2]

(e) At the end of his first year in business Rasheed would like to compare his financial performance with other businesses. Explain to Rasheed **three** problems of inter-firm comparison.

1 ....

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2 ....

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3 ....

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[6]

[Total: 20]

1 Saira is a trader. The following transactions took place in January 2023.

Jan	2	Rent received, $360, was paid directly into the bank account
	4	Paid $343 to Jai by telephone transfer, having deducted 2% cash discount from the amount due
	7	Paid cash, $33, for motor expenses
	13	Cash sales, $395, were paid directly into the bank account
	17	Paid $194 to David, by electronic transfer, having deducted 3% cash discount from the amount due
	20	Received a cheque, $388, from Ivan, in full settlement of a debt of $400
	27	Withdrew cash, $150, from the bank for business use
	29	Paid $124, cash, for wages

REQUIRED

(a) Prepare Saira's cash book on the page opposite.
Balance the cash book and bring down the balances at 1 February 2023.

Question 09 continued - Feb/Mar 2023 Paper 22 Question 1 - 20 marks

SUBTOPIC: 2.3 Books of prime entry

Saira
Cash Book

Date 2023	Details	Discount allowed $	Cash $	Bank $	Date 2023	Details	Discount received $	Cash $	Bank $
Jan 1	*Balance b/d*		*110*	*713*					

[13]

Saira has now received a business bank statement and is comparing it to her cash book.

REQUIRED

(b) Complete the table by writing 'increase', 'decrease' or 'no effect' in **each** box to show the effect of recording the items listed, which appeared only on the bank statement. The first one is completed for you as an example.

Items to be adjusted	Effect on bank balance in cash book	Effect on capital
Bank charges	*decrease*	*decrease*
Credit transfer from Saira's personal bank account		
Cheque from Ivan was dishonoured		

[4]

The going concern concept requires that Saira's financial statements are prepared under the assumption that her business will continue for an indefinite period of time.

REQUIRED

(c) State why **each** external user of the accounting statements would be interested in Saira's business continuing indefinitely.

User	Reason
Bank manager	
Government	
Trade payables	

[3]

[Total: 20]

5

BLANK PAGE

1 Shvan maintains a petty cash book using the imprest system. The imprest amount, which is $200, is restored every Wednesday.

All payments of less than $75 are made from petty cash. All cash receipts of less than $75 are paid into petty cash.

On 1 March 2023 Shvan had $61 in his petty cash box. He provided the following information for the first week in March 2023.

March	1	Restored petty cash imprest from the business bank account
	2	Paid $55 to Giles, a trade payable
	3	Paid taxi fare, $21
	6	Paid $18 for notepads and pens
	6	Received cash, $25, from Mitchell, a trade receivable
	7	Paid $30 for office cleaning

REQUIRED

(a) Prepare Shvan's petty cash book for the first week of March 2023, on the page opposite. Balance the petty cash book at 7 March 2023 and bring down the balance at 8 March 2023.

SUBTOPIC: 2.3 Books of prime entry

3

Shvan
Petty Cash Book

Total received $	*Date*	*Details*	*Total paid* $	*Office expenses* $	*Travel* $	*Ledger accounts* $

[10]

Shvan makes payments to Giles from his bank account as well as by cash. He provided the following information.

March	1	Owed Giles, $165, from February
	13	Paid Giles the amount outstanding on his account, by cheque
	22	Purchased goods on credit from Giles, list price $150, subject to a trade discount of 4%

(b) Prepare the account for Giles as it would appear in the books of Shvan. Balance the account at 31 March 2023 and bring down the balance at 1 April 2023.

Shvan
Giles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

Shvan is considering whether to stop keeping cash at his business premises. He would require all customers to transfer payment directly into his bank account and he would make all business payments from his bank account.

REQUIRED

(c) **(i)** State **one** way Shvan could pay his suppliers, from his bank account, other than by cheque.

....

.... [1]

(ii) Advise Shvan whether he should stop using cash. Justify your answer by providing **two** advantages and **two** disadvantages of stopping using cash.

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.... [5]

[Total: 20]

1 Omer is a trader.

The following transactions took place in April 2023.

April	3	Paid $1000 into the bank from his own personal money
	7	Paid $360 to a supplier, Alexander, by telephone transfer
	10	Cash sales, $695, were paid directly into the bank account
	12	Purchased goods, $340, on credit from Alexander
	15	Paid $68 cash for petrol
	16	Paid rent, $400, by standing order
	23	Received a cheque, $384, from a credit customer, Esme, in full settlement of an invoice for $400
	27	Paid $323 by cheque to Alexander, having deducted $17 cash discount
	28	Purchased goods, $235, on credit from Alexander

REQUIRED

(a) Complete Omer's cash book on the page opposite.
Balance the cash book and bring down the balances on 1 May 2023.

Question 11 continued - May/June 2023 Paper 22 Question 1 - 20 marks

SUBTOPIC: 2.3 Books of prime entry

3

Omer
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
		$	$	$			$	$	$
2023					2023				
Apr 1	*Balance b/d*		*120*		*Apr 1*	*Balance b/d*			*477*

[11]

(b) Prepare the account for Alexander for April 2023. Balance the account and bring down the balance at 1 May 2023.

Omer
Alexander account

Date	Details	$	Date	Details	$
			2023		
....	....	....	Apr 1	Balance b/d	360
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

Omer buys all his supplies from Alexander who does not allow Omer any trade discount. Omer is now considering also purchasing supplies from Tahir who would offer him 3% trade discount but no cash discount.

REQUIRED

(c) Advise Omer whether he should choose:
Option 1 – purchase supplies from Alexander only, or
Option 2 – purchase supplies from both Alexander and Tahir
Justify your answer by providing **three** advantages and **one** disadvantage of the option you have chosen.

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.... [5]

[Total: 20]

BLANK PAGE

4 Asia is a trader. She prepared her trial balance at 31 August 2023. The credit side totalled $273 more than the debit side. Asia placed the difference in a suspense account.

Asia later discovered the following errors.

1 A credit purchase, $112, from Jacques, had been entered twice in the purchases journal.

2 The wages account had been overcast by $300.

3 Cash received, $75, from Savanah, a trade receivable, had only been entered in the cash book.

4 The total of the sales returns journal for August 2023 of $198, had been credited to both the sales returns account and the purchases returns account.

5 A payment to Sophie, $93, had been recorded as $39 in Sophie's account.

REQUIRED

(a) Prepare the journal entries to correct errors 1–5. Narratives are **not** required.

Asia
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[11]

(b) Prepare the suspense account, including the original difference on the trial balance.

Asia
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

REQUIRED

(c) Complete the following table by placing a tick (✓) to show the effect of each error. The first one has been completed as an example.

Error number	Error	Gross profit		Profit for the year		No effect
		+	–	+	–	
1	A credit purchase, $112, from Jacques, had been debited twice to the purchases account.		✓		✓	
2	The wages account had been overcast by $300.					
3	Cash received, $75 from Savanah, a trade receivable, had only been entered in the cash book.					
4	The total of the sales returns journal for August 2023, $198, had been credited to both the sales returns account and the purchases returns account.					
5	A payment to Sophie, $93, had been recorded as $39 in Sophie's account.					

[4]

[Total: 20]

BLANK PAGE

1 Seok buys and sells goods on credit. He has three credit customers and allows one of them, Naomi, trade discount of 10%. All customers pay Seok by bank transfer.

The following balances were extracted from Seok's sales ledger at 1 August 2023.

	$
Naomi	450
Siena	155
Bwana	386
	991

The following transactions took place in August 2023.

Aug 3 Sold goods on credit, to Naomi, list price $410

5 Sold goods on credit, $89, to Bwana

10 Naomi returned goods, list price $20

11 Naomi paid $423 in full settlement of the amount she owed at 1 August

19 Sold goods on credit, $180, to Bwana

22 Sold goods on credit, to Naomi, list price $230

27 Bwana returned goods, $19

29 Bwana paid $400

REQUIRED

(a) Prepare the sales journal for August 2023.
Total the journal and indicate the ledger account where the total would be posted.

Seok
Sales journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[4]

(b) Prepare the sales returns journal for August 2023.
Total the journal and indicate the ledger account where the total would be posted.

Seok
Sales returns journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

(c) Prepare the account for Naomi for August 2023 as it would appear in the books of Seok. Balance the account and bring down the balance at 1 September 2023.

Seok
Naomi account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[6]

On 31 August Seok decided to write off the amount owing by Siena as an irrecoverable debt.

REQUIRED

(d) Prepare Seok's sales ledger control account for August 2023. Balance the account and bring down the balance at 1 September 2023.

Seok
Sales ledger control account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[7]

[Total: 20]

5

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3 Lionel started trading on 1 July 2022. He paid $15 000 of his own personal money into the business bank account. He did not keep full accounting records but has supplied the following information at 30 June 2023.

1. Cash sales of $90 000 were made and paid into the bank. No other money was received. Lionel marks up his goods by 50%.

2. Payments from the bank:

	$
Purchase of motor vehicle (van)	8 000
Payments to credit suppliers	55 000
Wages	8 060
General expenses	1 140
Rent and insurance	5 585
Motor expenses	4 992
Cash drawn from bank	14 600

3. Purchases returns amounted to $3000.

4. Inventory at 30 June 2023 was valued at $4175.

5. One third of the motor expenses paid were for Lionel's private car.

6. A full year's depreciation at 25% is to be charged on the van using the reducing balance method.

7. Lionel withdrew $1000 each month from the business cash, for personal use. The remaining cash drawn from the bank was used to pay wages.

REQUIRED

(a) Prepare Lionel's income statement for the year ended 30 June 2023.

Lionel
Income Statement for the year ended 30 June 2023

	$	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
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....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....

[9]

(b) Prepare Lionel's capital account for the year ended 30 June 2023. Balance the account and bring down the balance at 1 July 2023.

Lionel
Capital account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(c) State **one** reason why Lionel should keep double-entry bookkeeping records.

.... [1]

Lionel currently makes cash sales only. He would like to start selling on credit and is considering whether to offer a 10% trade discount to regular customers or a 3% discount for payment within 21 days.

REQUIRED

(d) Advise Lionel whether he should offer the 10% trade discount **or** the 3% cash discount. Justify your answer.

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.... [5]

[Total: 20]

1 Gurjit is a trader. During January 2024, the following transactions took place.

January	4	Cash sales, $640, were paid directly into the bank account
	7	Paid Sandy $551 by credit transfer, having deducted 5% cash discount
	13	Paid cash, $120, for wages
	19	Received payment by cheque, $415, from Uma
	21	Paid Viraj $194 by telephone transfer, in full settlement of an invoice for $200
	25	Withdrew cash from the bank, $100, for business use

REQUIRED

(a) Prepare Gurjit's cash book on the page opposite.
Balance the cash book and bring down the balances at 1 February 2024.

SUBTOPIC: 2.3 Books of prime entry

Gurjit
Cash Book

Date 2024	Details	Discount allowed $	Cash $	Bank $	Date 2024	Details	Discount received $	Cash $	Bank $
Jan 1	*Balance b/d*		*175*	*1490*					

[10]

(b) Complete the following table by placing a tick (✓) in the correct column to indicate whether each item would be used to update the cash book or would appear in the bank reconciliation statement.

	Updating cash book	Bank reconciliation statement
Bank error		
Cheque from Uma dishonoured		
Bank charges		

[3]

Gurjit is considering paying amounts of less than $20 via petty cash. He would pay all larger amounts by bank transfer or card payment. He would also require his customers to pay all amounts due by bank transfer or card payment. Gurjit would stop issuing and receiving cheques.

REQUIRED

(c) Advise Gurjit whether or not he should make the above changes. Justify your answer by providing points for and against making these changes.

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.... [5]

(d) State the meaning of the following terms.

(i) Bank overdraft

....

.... [1]

(ii) Bank charges

....

.... [1]

[Total: 20]

5 Sunita has prepared a trial balance at 31 December 2023 and a draft income statement for the year ended 31 December 2023.

Sunita later discovered the following errors.

1 The total of the sales returns journal for November 2023, $3524, had been credited to the purchases account.

2 The purchases journal for July 2023 had been undercast by $90.

3 The total of the sales journal for May 2023, $19415, had not been posted to the sales account.

4 A payment received from P. Mattel, $129, had been debited to the account for M. Patel.

5 Capital introduced by Sunita, $5000, had been debited to the bank account but no other entry had been made.

6 A rent payment, $500, had been posted to the rent expense account as $50.

REQUIRED

(a) Prepare the journal entry to correct error **1 only**. A narrative **is** required.

Sunita
Journal

Error number	Details	Debit $	Credit $
1			

[4]

(b) Prepare the suspense account. Include the balancing figure as the original difference on the trial balance.

Sunita
Suspense account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[7]

(c) Calculate the corrected profit figures in the tables below:

(i)

	$
Original gross profit per draft financial statements	*66 223*
Gross profit for the year **after** correcting errors	

[4]

(ii)

	$
Original profit for the year per draft financial statements	*28 750*
Profit for the year **after** correcting errors	

[3]

Sunita's gross margin is 40%.

REQUIRED

(d) Calculate Sunita's sales revenue for the year ended 31 December 2023.

....

.... [2]

[Total: 20]

1 Addo is a trader who only sells on credit.

His trade receivables at 1 April 2024 were as follows:

	$
Nuru	920
Mahia	1145
Ava	1378
Rachel	215
	3658

During April 2024, the following transactions took place:

April	2	Sold goods to Ava, list price $150, less 6% trade discount
	9	Received telephone transfer from Ava, $689
	12	Sold goods to Nuru, $165
	13	Received cheque, $627, from Mahia, in full settlement of an invoice for $660
	19	Received $760 from Nuru by electronic transfer. Nuru had deducted 5% cash discount
	20	Nuru returned goods $30
	21	Sold goods to Mahia, list price $480, trade discount 5%, cash discount 5% if invoice paid within 30 days
	30	Rachel has become bankrupt and Addo decides to write off the amount owing from her, as irrecoverable

REQUIRED

(a) Prepare the sales journal for April 2024.
Total the sales journal and indicate the ledger account to which the total would be posted.

Addo
Sales journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

(b) Prepare the journal entry to write off the amount owing by Rachel. A narrative **is** required.

Addo
Journal

Date	Details	$	$
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

(c) Calculate:

(i) the total amount of money which Addo received from trade receivables during April 2024.

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.... [1]

(ii) the total amount of cash discount which Addo allowed in April 2024.

....

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....

.... [2]

(d) Prepare Addo's sales ledger control account for April 2024.

Addo
Sales ledger control account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[6]

Addo is considering changing his credit terms. He would introduce more credit checks on new customers and would increase cash discount to 7½% for payment within 30 days.

REQUIRED

(e) Advise Addo whether or not he should make these changes to his credit terms. Justify your answer by providing **two** advantages and **two** disadvantages of changing his credit terms.

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.... [5]

[Total: 20]

5

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2 Paul is a trader. He maintains a three-column cash book. Paul has prepared draft financial statements for the year ended 31 March 2024.

Paul later discovered the following five errors in his accounting records for the year ended 31 March 2024.

1 A purchase invoice, $140, had been debited to the account for office equipment.

2 Cash discount received, $18, had been recorded in the bank payments column of the cash book.

3 Carriage inwards, $82, had been credited to the carriage outwards account.

4 A payment for insurance, $375, had been debited to the bank account and credited to the insurance account.

5 The bank receipts column of the cash book for February 2024 had been undercast by $90.

REQUIRED

(a) Prepare the journal entries required to correct these five errors. Narratives are **not** required.

Paul
Journal

Error number	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[11]

(b) Calculate the corrected bank balance at 31 March 2024.

	$
Original cash at bank balance per draft financial statements	*3290*
Bank balance **after** correcting errors	

[4]

(c) Calculate the corrected profit for the year ended 31 March 2024.

	$
Original profit for the year per draft financial statements	*9268*
Profit for the year **after** correcting errors	

[5]

[Total: 20]

9

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1 Lottie is a trader. Her financial year end is 30 April. She keeps her petty cash book using the imprest system. The imprest amount is $150. The totals of the payments analysis columns in her petty cash book for April 2024 are as follows.

	$
Cleaning	21
Stationery	47
Sundry expenses	44

During April 2024, Lottie received a refund for damaged stationery, $15. This amount was received into petty cash.

REQUIRED

(a) Calculate the amount required to restore the petty cash imprest on 1 May 2024.

....

....

....

....

.... [3]

The petty cash book is one of the books of prime entry.

REQUIRED

(b) State

(i) **one** other book of prime entry

....

.... [1]

(ii) **two** advantages of using books of prime entry

....

....

....

.... [2]

On 30 April 2024, Lottie sold a motor vehicle for $6000 on credit to Y Limited. She had purchased the vehicle on 1 May 2021 for $12 000. Lottie charges depreciation on vehicles at 25% using the reducing balance method. No depreciation is charged in the year of disposal.

REQUIRED

(c) **(i)** Calculate the accumulated depreciation on the vehicle at 30 April 2024.

....

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....

....

.... [2]

(ii) Prepare the disposal of motor vehicles account.

Lottie
Disposal of motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

1 Lottie is a trader. Her financial year end is 30 April. She keeps her petty cash book using the imprest system. The imprest amount is $150. The totals of the payments analysis columns in her petty cash book for April 2024 are as follows.

	$
Cleaning	21
Stationery	47
Sundry expenses	44

During April 2024, Lottie received a refund for damaged stationery, $15. This amount was received into petty cash.

REQUIRED

(a) Calculate the amount required to restore the petty cash imprest on 1 May 2024.

....

....

....

....

.... [3]

The petty cash book is one of the books of prime entry.

REQUIRED

(b) State

(i) **one** other book of prime entry

....

.... [1]

(ii) **two** advantages of using books of prime entry

....

....

....

.... [2]

On 30 April 2024, Lottie sold a motor vehicle for $6000 on credit to Y Limited. She had purchased the vehicle on 1 May 2021 for $12 000. Lottie charges depreciation on vehicles at 25% using the reducing balance method. No depreciation is charged in the year of disposal.

REQUIRED

(c) **(i)** Calculate the accumulated depreciation on the vehicle at 30 April 2024.

....

....

....

....

.... [2]

(ii) Prepare the disposal of motor vehicles account.

Lottie
Disposal of motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

1 Kalima is a trader.

At the start of September 2024, Kalima had a cash balance of $240, a bank balance of $890 credit and a credit customer, Elizah, owed Kalima $520.

The following transactions took place during the month:

September	2	Paid stationery in cash, $82
	3	Cash sales, $478
		A cheque for $30 received at the end of August from Badr, a credit customer, was dishonoured
	5	Paid wages by credit transfer, $1390
	7	Bought goods from Gulnar on credit, $200
	10	Kalima withdrew $150 from the business bank account for personal use
	14	Received a cheque from Elizah in full settlement of the amount owed less 2.5% cash discount
	16	Paid $120 cash into the business bank account
	21	Paid Gulnar the full amount due by credit transfer less a cash discount of 2%
	23	Sold goods to Elizah on credit, $1450
	29	A credit note totalling $325 was issued to Elizah for goods returned

REQUIRED:

(a) Prepare Kalima’s cash book on the page opposite, for September 2024.

Balance the account and bring down the balances on 1 October 2024.

SUBTOPIC: 2.3 Books of prime entry

Kalima
Cash book

Date 2024	Details	Discount allowed $	Cash $	Bank $	Date 2024	Details	Discount Received $	Cash $	Bank $

[13]

SUBTOPIC: 2.3 Books of prime entry

(b) What does the credit balance in the bank on 1 September 2024 represent?

....

....
[1]

(c) Prepare the account of Elizah as it would appear in Kalima's books. Balance the account and bring down any balances on 1 October 2024.

Kalima

Elizah Account					
Date 2024	Details	Amount $	Date 2024	Details	Amount $
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(d) Name the section heading in Kalima's statement of financial position where the balance on Elizah's account would appear.

....

....
[1]

[Total: 20]

* 0000800000005 *

BLANK PAGE

1 Ria started trading on 1 August 2024.

The balances in Ria's purchases ledger at 1 January 2025 were as follows:

	$
Darena	465
Jadu	170
Ottie	275
Nakir	600
	1510

Ottie allows Ria trade discount of 5%.

The following transactions took place in January 2025.

Jan 2 Paid Darena $300 by bank transfer

8 Sold goods for $520 cash

13 Purchased goods, list price $180, on credit from Ottie

17 Paid Nakir the amount due on 1 January 2025, after deducting 3% cash discount

18 Purchased goods, $528, on credit from Nakir

20 Purchased goods, $73, paying immediately by bank transfer

23 Purchased goods, $310, on credit from Darena

29 Sold goods for cash, $640

30 Returned goods, $24, to Darena

REQUIRED

(a) Prepare the purchases journal for January 2025.

Total the journal and indicate the ledger account where the total would be posted.

Ria
Purchases journal

Date	Details	$
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....
....	....	....

[3]

(b) Prepare the purchases returns journal for January 2025.

Total the journal and indicate the ledger account where the total would be posted.

Ria
Purchases returns journal

Date	Details	$
....	....	....
....	....	....
....	....	....
....	....	....

[2]

Ria's total purchases from 1 August 2024 to 31 December 2024 were $6327.

REQUIRED

(c) Prepare Ria's purchases account for January 2025. Balance the account and bring down the balance on 1 February 2025.

Ria
Purchases account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

(d) Prepare Ria’s purchases ledger control account for January 2025. Balance the account and bring down the balance on 1 February 2025.

Ria
Purchases ledger control account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[6]

DO NOT WRITE IN THIS MARGIN

* 0000800000005 *

Ria is considering increasing her trade payables payment period to provide her with sufficient cash for an advertising campaign.

REQUIRED

(e) Advise Ria whether or not she should increase her trade payables payment period to provide her with sufficient cash for an advertising campaign. Justify your answer by providing **two** advantages and **two** disadvantages of your advice.

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.... [5]

[Total: 20]

1 Kadima is a trader. He sells on credit only. During March 2025, the following transactions took place.

March	4	Paid Lee, $196, by bank transfer in full settlement of an invoice for $200
	6	Received payment by cheque, $291, from Sophiah who had deducted 3% cash discount
	14	Paid motor expenses, $26, by cash
	19	Received payment by bank transfer, $375, from Merve, a customer
	22	Paid Mark, $240, by online transfer, having deducted 4% cash discount
	28	Withdrew $400 cash from the bank for business use
	29	Paid wages, $362, in cash
	30	Paid motor expenses, $91, by cheque

REQUIRED

(a) Complete Kadima's cash book on **page 3**. Balance the cash book and bring down the balances at 1 April 2025.

Kadima
Cash Book

Date	Details	Discount allowed	Cash	Bank	Date	Details	Discount received	Cash	Bank
2025		$	$	$	*2025*		$	$	$
Mar 1	*Balance b/d*		*50*	*840*					

[12]

1 Sid owns a business selling cars. He operates a petty cash system and maintains the float at $350. The float is restored on the first day of each month from the business bank account.

Sid has provided the following information:

2025			$
April	1	Balance b/d	350
	3	Bought petrol	36
	4	Bought tea, coffee and juice – for staff	34
	9	Paid taxi fare for customer	24
	11	Paid AB Autoparts, a credit supplier	78
	12	Paid for printer paper	8
	14	Paid window cleaner	30
	27	Bought train ticket for member of staff	8.50
	30	Paid office cleaner	45

REQUIRED

(a) Prepare Sid's petty cash book for the month of April on **page 3**. Balance the petty cash book at 30 April 2025 and bring down the balance at 1 May 2025. Restore the float to the agreed level.

SUBTOPIC: 2.3 Books of prime entry

Date	Details	Total received $	Date	Details	Total paid $	Cleaning $	Fuel $	Office expenses $	Travel expenses $	Ledger accounts $
April 1	*Balance*	*350*								

[12]

(b) State the name of the system used to maintain petty cash books.

.... [1]

(c) State **one** advantage of operating a petty cash account.

....

.... [1]

(d) State **two** reasons why there might be a difference between the balance on the petty cash account and the money in the petty cash box.

1 ....

....

2 ....

....

[2]

Sid made the following transactions during the month of May 2025:

- withdrew $1500 cash from the business bank account for his own personal use
- bought car parts on credit from AB Autoparts. The list price of the parts was $830 but was subject to 20% trade discount.

REQUIRED

(e) Show the journal entries to record these transactions. Narratives are **not** required.

Sid
Journal

Details	Debit $	Credit $
....	....	....
....	....	....
....	....	....
....	....	....

[4]

[Total: 20]